9. INCOME TAXES

The components of the consolidated expense for income taxes applicable to operations are as follows:

	Year ended		
	2001	2000	1999
	(in thousands)		
Current:			
Federal	$ -	1,192	2,490
State	650	1,068	406
Deferred:			
Federal	8,243	32,369	29,963
State	19	2,293	2,242
	$ 8,912	36,922	35,101

Income taxes paid in cash amounted to $3,450,000, $1,522,000 and $1,656,000 for fiscal years 2001, 2000 and 1999, respectively.

Actual tax expense reported on earnings from operations differs from the "expected" tax expense amount (computed by applying the United States federal corporate tax rate of 35% in 2001, 2000 and 1999) as follows:

	Year ended		
	2001	2000	1999
	(in thousands)		
Computed "expected" tax expense	$ 8,399	35,962	34,163
Increases (reductions) in taxes resulting from:			
Tax-exempt interest income	(55)	(145)	(474)
Dividends received deduction	(1)	(1)	(52)
Canadian subsidiary (income)loss	(402)	(536)	444
True-up of prior year	-	-	-
Federal tax benefit of state and local taxes	(221)	(1,176)	(927)
Other	523	(543)	(701)
Actual federal tax expense	8,243	33,561	32,453
State and local income tax expense	669	3,361	2,648
Actual tax expense of operations	$ 8,912	36,922	35,101

9. INCOME TAXES, continued

Deferred tax assets and liabilities are comprised as follows:

	March 31,	
	2001	2000
	(in thousands)	
Deferred tax assets		
Benefit of tax net operating loss and credit carryforwards	$ 62,145	84,855
Accrued expenses	9,059	6,399
Deferred revenue from sale/leaseback	9,001	7,463
Policy benefits and losses, claims and loss expenses payable, net	7,807	20,236
Other	1,550	1,838
Total deferred tax assets	89,562	120,791
Deferred tax liabilities		
Property, plant and equipment	221,407	224,260
Deferred policy acquisition costs	7,574	5,944
Total deferred tax liabilities	228,981	230,204
Net deferred tax liability	$ 139,419	109,413

The deferred tax asset was reduced by use of a portion of the net operating loss carryforward to offset a related party gain that increased additional paid in capital.

In light of AMERCO's history of profitable operations, management has concluded that it is more likely than not that AMERCO will ultimately realize the full benefit of its deferred tax assets. Accordingly, AMERCO believes that a valuation allowance is not required at March 31, 2001 and 2000. See also Note 15 of Notes to Consolidated Financial Statements.

Under the provisions of the Tax Reform Act of 1984 (the Act), the balance in Oxford's account designated "Policyholders' Surplus Account" is frozen at its December 31, 1983 balance of $19,251,000. Federal income taxes (Phase III) will be payable thereon at applicable current rates if amounts in this account are distributed to the stockholder or to the extent the account exceeds a prescribed maximum. Oxford did not incur a Phase III liability for the years ended December 31, 2000, 1999 and 1998.

The Internal Revenue Service is currently conducting audits on fiscal years 1996 and 1997. To date, the audits have not been completed.

At March 31, 2001, AMERCO and RepWest have non-life net operating loss carryforwards available to offset federal taxable income in future years of $119,495,000 for tax purposes. These carryforwards expire in 2011 through 2012. AMERCO has alternative minimum tax credit carryforwards of $15,489,000 which do not have an expiration date, but may only be utilized in years in which regular tax exceeds alternative minimum tax. The use of certain carryforwards may be limited or prohibited if a reorganization or other change in corporate ownership were to occur.

During 1994, Oxford distributed its investment in RepWest common stock as a dividend to its parent at its book value. As a result of such dividend, a deferred intercompany gain arose due to the difference between the book value and fair value of such common stock. However, such gain can only be triggered if certain events occur. To date, no events have occurred which would trigger such gain recognition. No deferred taxes have been provided in the accompanying consolidated financial statements as management believes that no events have occurred to trigger such gain.